

9:00 AM

Line 3

23-CIV-01880 RUI DING VS. YIQIN WANG, ET AL

RUI DING
YIQIN WANG

JEREMY D. CLOYD
PHILIP A. SEGAL

Defendant, Cross-Defendant, and Cross-Complainant Yincheng Zhao's (Amended) Motion for Summary Adjudication on FX10, LLC.'s Express Contractual Indemnity Cause of Action of the Cross Complaint

TENTATIVE RULING:

I. Summary of Facts / Pertinent Procedural History

The Complaint alleges that in a catastrophic boating accident, Plaintiff Rui Ding had been wakeboarding behind a motorboat that Cross-Defendant Yiqin Wang and Cross-Defendant Yincheng Zhao had rented from Cross-Complainants FX 10 Int'l, Inc., dba Berryessa Water Sports, and Plan B Equipment Rentals LLC (herein, "Cross-Complainants" or "FX10" unless another cross-complainant is specified), when plaintiff got sucked into the propeller of its outboard motor by her foot which was then apparently horribly mangled.

There are numerous cross-complaints in this action. The instant motion is directed to the second cause of action for action (for express contractual indemnity) of that filed by Cross-Complainants on July 19, 2023, against Cross-Defendant and Defendant Zhao (here, the "Cross-Complaint"), and to the enforceability of the contract underlying that cause of action.

Through his Motion for Summary Adjudication of FX10's Express Contractual Indemnity Cause of Action of Its Cross-Complaint by Cross-Defendant Yincheng Zhao (the "Motion"), Cross-Defendant seeks summary adjudication of two issues defined in the Motion. (Code Civ. Proc., § 437c, subd. (f).) The first issue is defined as whether FX10's Express Contractual Indemnity cause of action in its Cross-Complaint should be voided as a matter of law, and the second issue is defined as whether FX10 breached the rental agreement and therefore said contract is terminated and Zhao is freed from any obligations arising thereunder.

II. Governing Law

A motion for summary adjudication "shall proceed in all procedural respects as a motion for summary judgment." (Code Civ. Proc., § 437c, subd. (f)(2).) Denial of summary adjudication is appropriate on the same grounds as is the denial of summary judgment.

"A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding." (Code of Civ. Proc., § 437c, subd. (a)(1).) Summary judgment will only be granted "if all the

papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.” (*Id.*, at subd. (c).)

A defendant moving for summary judgment has an initial burden of showing either that one or more elements of a cause of action cannot be established or that there is a complete defense to the cause of action. (Code of Civ. Proc., § 437c, subd. (p)(2).) Once the initial burden has been carried, the burden shifts to the opposing party to show that a triable issue of material fact exists as either to the cause of action or a defense thereto, as applicable. (*Ibid.*)

This cross-defendant can meet his burden of showing that a cause of action is meritless, if:

- the party has shown that one or more elements of the cause of action ... cannot be established, or
- that there is a complete defense to the cause of action.

(Code Civ. Proc., § 437c, subd. (p)(2) (bullet points added).) If the cross-defendant meets this burden, then “the burden shifts to the plaintiff or cross-complainant ... to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (*Ibid.*)

“Courts deciding motions for summary judgment or summary adjudication may not weigh the evidence but must instead view it in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party.” (*Weiss v. People ex rel. Dep’t of Transportation* (2020) 9 Cal.5th 840, 864 (*Weiss*) (citations omitted).)

Summary judgment “is drastic and should be used with caution in order that it may not become a substitute for existing methods in the determination of issues of fact.” (*Eagle Oil & Ref. Co. v. Prentice* (1942) 19 Cal.2d 553, 556.) Indeed, issues of fact are to be found and not determined:

By an unbroken line of decision in this state since the date of the original enactment of section 437c, the principle has become well established that issue finding rather than issue determination is the pivot upon which the summary judgment law turns.

(*Walsh v. Walsh* (1941) 18 Cal.2d 439, 441 (*Walsh*) (citations omitted).) Further:

The purpose of the summary judgment procedure is not to try the issues but merely to discover, through the medium of affidavits, whether there are issues to be tried and whether the parties possess evidence which demands the analysis of trial.

(*Melamed v. City of Long Beach* (1993) 15 Cal.App.4th 70, 76 (*Melamed*).) Specifically, California summary judgment law differs from federal law in that the former “continues to require a defendant moving for summary judgment to present evidence, and not simply point out that the plaintiff does not possess, and cannot reasonably obtain, needed evidence.” (*Aguilar v. Atl. Richfield Co.* (2001) 25 Cal.4th 826, 854-55 (*Aguilar*).) Further, the Supreme Court of California has stated that:

Language in certain decisions purportedly allowing a defendant moving for summary judgment simply to “point[]” out “an absence of evidence to support” an element of the plaintiff’s cause of action does not reflect summary judgment law as

it has ever stood, and is accordingly disapproved.

(*Aguilar, supra*, 25 Cal.4th 826, 855 (citation omitted).)

The Court must consider all of the evidence and inferences reasonably drawn therefrom “in the light most favorable to” the party opposing the motion. (*Aguilar, supra*, 25 Cal.4th 826, 843.) A trial court is justified in granting summary judgment “only if the declarations filed in support of it, strictly construed, contain facts sufficient to entitle the [proponents] to judgment, and those of the [opponents to the summary judgment motion], liberally construed, show that there was no issue of fact to be tried.” (*Stationers Corp. v. Dun & Bradstreet, Inc.* (1965) 62 Cal.2d 412, 417.)

Ultimately, if the Court feels any uncertainty as to whether a grant of summary judgment is proper, “any doubts about the propriety of summary judgment must be resolved in favor of the opposing party.” (*Mateel Environmental J. Foundation v. Edmund A. Gray Co.* (2003) 115 Cal.App.4th 8, 17 (*Mateel*) (citations omitted).)

III. Analysis

Initial Matters

Cross-Complainants’ Request for Judicial Notice is granted as to: (1) subdivisions (b), (d), and (e) of section 661 of the California Harbors and Navigation Code; and (2) subdivisions (a) and (b) of 46 U.S.C. section 30505 (2021). (Evid. Code, § 452, subd. (c), & § 453.)

The request that the Court take judicial notice of Cross-Complainants’ legal argument as to how said code applies is denied.

Zhao’s request for judicial notice is GRANTED pursuant to Evidence Code section 452 subd. (d), but not as to the truth of the matters asserted in the documents.

The parties’ respective objections to evidence are not raised as to evidence that is material to the disposition of the Motion, and the Court accordingly has not reached the objections. (See Code Civ. Proc. section 437c subd. (q); *Reid v. Google, Inc.* (2010) 50 Cal. 4th 512.)

Separate Statement Requirement

Where summary adjudication is sought, the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion and be repeated, verbatim, in the separate statement of undisputed material facts. (Cal. Rules of Court, rule 3.1350.) The failure to comply with this requirement may, in the court’s discretion, constitute sufficient grounds to deny the motion. (*Young v. Superior Ct.* (1986) 179 Cal. App. 3d 28.) “The motion must be denied if the movant fails to establish an entitlement to summary adjudication of the matters thus specified; the court cannot summarily adjudicate other issues or claims, even if a basis to do so appears from the papers.” (*Schmidlin v. City of Palo Alto* (2007) 157 Cal. App. 4th 728, 744, citing *Gonzales v. Superior Court* (1987) 189 Cal.App.3d 1542.)

Here, Cross-Defendant Zhao’s Notice of Motion identifies two issues as to which Zhao is entitled to summary adjudication:

Issue No. 1: Whether FX10's Express Contractual Indemnity cause of action in its Cross-Complaint should be voided as a matter of law.

Issue No. 2: Whether FX10 breached the rental agreement and therefore said contract is terminated and Zhao is freed from any obligations arising thereunder.

(Notice of Motion, at p. 2:11-14.)

Cross-Defendant Zhao's Separate Statement of Undisputed Material Facts in Support of the MSA ("SSUMF"), however, does not state these two issues, verbatim or otherwise, anywhere in the document. The enumerated facts are not organized such that any group of facts can be attributed to one issue or the other. The facts are instead organized under other headings, including "THE PLEADINGS," "THE ACCIDENT," "THE BOAT RENTAL," "THE RENTAL WAIVER," and "FX10'S BREACH OF THE RENTAL AGREEMENT." The Motion could therefore be denied on this basis; however the Court still addresses the merits below.

Cross-Complainants were prejudiced by the improper Separate Statement because Zhao has not made clear which Undisputed Material Facts ("UMF's") he relies on in support of each issue. This defect is sufficient to support denial of the Motion for the procedurally deficient Separate Statement.

Filing of Subsequent Cross-Complaint

FX10 filed a cross-complaint against Yiqin Wang, Yincheng Zhao and Roes 1-10 for equitable indemnity, express contractual indemnity, contribution and apportionment on July 19, 2023. On January 15, 2025 FX10 then filed a subsequent cross-complaint naming Lu Jin, Jiaqi Liu, Yigong Ma, Yixin Chi, and Roes 11-20, and not naming Yiqin Wang and Yincheng Zhao. On March 6, 2025, FX10 filed a third cross-complaint against Lu Jin, Jiaqi Liu, Yigong Ma, Yixin Chi, and Roes 11-20, again leaving off Yiqin Wang and Yincheng Zhao. Zhao contends that his omission as a cross-defendant in the March 6, 2025 Cross-Complaint operates as a dismissal from FX10's Cross-Complaint, and that he is accordingly entitled to summary adjudication.

The substantive right to file a cross-complaint is governed by Code Civ. Proc. section 428.10. A party against whom a cause of action has been asserted may file a cross-complaint setting forth any cause of action it has against any of the parties who filed the complaint or cross-complaint against it. (Code Civ. Proc. section 428.10 subd. (a).) A party may file a cross-complaint against a person not yet a party to the action if the cause of action "arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him" or "asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him." (Code Civ. Proc. section 428.10 subd. (b).) While the plain language of the statute does not limit a party to the filing of a single cross-complaint, that is the accepted practice.

A cross-complaint is generally considered to be a separate action from that initiated by the

complaint, such that where there are both a complaint and a cross-complaint there are actually two separate actions pending and the issues joined on the cross-complaint are completely severable from the issues under the original complaint and answer. (*Westamerica Bank v. MBG Indus., Inc.* (2007) 158 Cal. App. 4th 109, 134.) This concept of severability supports the idea that multiple cross-complaints filed by one party, where compliant with timing and other requirements, may be operative at the same time. Zhao points to the holding of *Kuperman v. Great Republic Life Insurance Company* (1987) 105 Cal.App.3d 943, 947 as contrary to this idea. The correct citation is in fact *Kuperman v. Great Republic Life Insurance Company* (1987) 195 Cal.App.3d 943, 947 (“*Kuperman.*”) That holding addressed *Lamoreaux v. San Diego and Arizona Eastern Railway Company* (1957) 48 Cal.2d 617, 627 which pertains to an amended complaint superseding an original complaint. The same is true of the other case Zhao cites, *Boonyarit v. Payless Shoesource, Inc.* (2006) 145 Cal.App.4th 1188. A complaint differs from a cross-complaint in that the filing of a complaint initiates an action. The cited cases therefore do not support the contention that Zhao has been dismissed by operation of law.

As noted during prior hearings, the Court does share the concern by Zhao’s counsel and others, that FX10’s multiple filing of differing cross-complaints is indeed problematic. In part this was addressed recently on the May 22, 2026 hearing for FX10’s motion to file a Second Amended Cross-complaint, where leave of court was denied.

However, ultimately the question of whether Zhao was dismissed from the Cross-Complaint at issue by operation of law is not raised as one of the stated two issues in the Notice of Motion. It would therefore be improper to grant this motion on that basis.

Express Contractual Indemnity Clause

On the day of the June 27, 2021 wakeboarding accident underlying this action, all 7 participants signed a passenger waiver of liability form, and five drivers, including Zhao, signed an additional driver waiver that included an indemnification clause. (UMF No.’s 10-12.) Zhao argues that FX10’s driver waiver is unconscionable and unenforceable.

A contract of adhesion is a standardized contract which is imposed and drafted by the party of superior bargaining strength and relegates to the subscribing party only the opportunity to adhere to the contract or reject it. (*Armendariz v. Found. Health Psychcare Servs.* (2000) Inc., 24 Cal. 4th 83.) The fact that a contract is one of adhesion does not by itself render it unenforceable. (*Fisher v. MoneyGram Int’l, Inc.* (2021) 66 Cal. App. 5th 1084.) However, once a contract is identified as adhesive, courts must determine whether other factors operate to render it unenforceable. (*Pardee Constr. Co. v. Superior Ct.* (2002) 100 Cal. App. 4th 1081.)

Zhao argues that FX10’s driver waiver is a contract of adhesion. This is supported by the evidence offered in support of UMF No.’s 28-32. Zhao then argues that the driver waiver is unconscionable because a reasonable, rational person would not understand its terms to mean they would have to indemnify FX10. This argument is contradicted by the plain language of the contract, which states in part that the signee agrees to:

“...hereby **release, defend, indemnify, and hold harmless Berryessa Water Sports**, their officers, officials, agents and/or employees, and, if applicable, owner and lessees of the premises used for the activity (“Indemnitees”) **with respect to any and all claims, lawsuits, demands, judgments, liens or other encumbrances that may be levied against Berryessa Water Sports on account of the use of the equipment**, including but not limited to personal injury, disability, death, or loss or damage to person or property, **whether arising from the operation of the equipment**, and whether arising from the alleged or actual negligence of the lessees, **other users of the equipment**, Berryessa Water Sports, or any other cause, to the fullest extent permitted by law...” (Emphasis added.)

(UMF No. 34; Exhibit I Zhao Depo, Exhibit 1 Page FX10-068.)

Zhao does not offer evidence that he did not understand the indemnity language to mean something other than what it says, or that a reasonable person in his place would not have understood it. Zhao then argues that the driver waiver is unconscionable and unenforceable because (1) the click through format did not permit negotiations, (2) the Waiver was executed when the safer Supreme boat was to be rented, (3) the Waiver was negated and vitiated when the boat was changed, and (4) the party was not given the opportunity to negotiate the use of the safer Supreme boat. (MP&A ISO Motion, at p. 14:13-21.) The first and last points go to the question of whether the contract is one of adhesion, and do not show more than that on their own. The second and third points go to the issue of whether the contract was breached, rather than whether it was unconscionable on its terms, and as noted below are triable issues of fact.

Separately, Zhao argues that FX10’s negligence goes beyond that covered by the waiver. (MP&A ISO Motion, at pp. 15:15-17:13.) It is unclear how this argument supports the position that contract is unenforceable, and is itself indicative of triable issues.

On this record, Zhao has not met his burden to establish that there is no triable issue of material fact and that he is entitled to judgment as a matter of law as to the issue of whether FX10’s Express Contractual Indemnity cause of action in its Cross-Complaint should be voided as a matter of law.

Breach of the Agreement

Zhao argues that FX10 breached the driver waiver by changing the boat for which the party had contracted, and that the driver waiver was terminated as a result of this breach. (MP&A ISO Motion, at pp. 17:16-19:5.) Zhao’s Separate Statement establishes that Cross-Defendant Wang rented a boat called the Sea Ray, which has a protruding outboard motor, but that the boat which was originally promised was called a Supreme, and had a propellor tucked underneath the boat. (UMF No.’s 18-21.) FX10 “sent Wang an email saying that the Supreme originally intended for this trip was no longer available and unilaterally switched them to the Sea Ray promising that the group could use it for wake boarding.” (UMF No. 22.) The party received electronic forms to

sign. (UMF No. 28.) This presentation of facts does not establish that FX10 changed the boat from the Supreme to the Sea Ray after the party had contracted for the Supreme.

Zhao's actual signed Boat and Waverunner Driver Waiver is before the Court. See, Zhao's Compendium of Exhibits, Exh. I starting at pg. 206, and FX10's Compendium of Exhibits, Exh. D, starting at pg. 141. Throughout this waiver, the equipment is identified only generally as a "Boat." In other words, this waiver does not identify either a Sea Ray boat, or a Supreme boat. As to which of these boats, if any, this waiver may apply, is again a triable issue of fact.

Zhao therefore has not established that there is no triable issue of material fact as to whether FX10 breached the contract such that Zhao entitled to summary adjudication of the issue as a matter of law.

Cross-Defendant Zhao's Motion for Summary Adjudication is accordingly DENIED as to the two issues raised in the motion.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

9:00 AM

Line 4

23-CIV-04084 SYLVIA ALVAREZ-LYNCH VS. MARK LAWRENCE CELLA, ET AL

SYLVIA ALVAREZ-LYNCH
MARK LAWRENCE CELLA

SARA M. PETERS
MICHAEL J. DALEY

Defendant, Cross-Defendant, and Cross-Complainant Grocery Outlet, Inc.'s Motion for Summary Adjudication on the Duty to Defend Against SHP Pacifica, LLC

TENTATIVE RULING:

This is Cross-complainant Grocery Outlet, Inc.'s Motion for Summary Adjudication on the Duty to Defend Against Cross-defendant SHP Pacifica, LLC. The motion is GRANTED. (Code of Civil Procedure § 437c)

Summary of Facts

Plaintiff Sylvia Alvarez-Lynch alleges that on or about February 12, 2023, she was a pedestrian walking to her vehicle in the parking of Grocery Outlet located in the City of Pacifica (the Premises), when she was struck by an Acura vehicle that was traveling in a generally southbound direction in the parking lot, driven by defendant Mark Cella and owned by defendant Kevin Bianchi. See, First Amended Complaint ("FAC"), filed on August 31, 2023.

Relevantly, Grocery Outlet, Inc. ("GOI") was named as a defendant for negligence-premises liability (see FAC, pg. 4). GOI tendered the defense of this matter to its landlord SHP Pacifica, LLC ("Landlord" or "SHP") on February 13, 2024 and again on April 10, 2024, but SHP rejected the tender at that time. Sep. Statement of Undisputed Facts ("SSUF") No.'s 10-12.

Only after the filing of this motion and full briefing, SHP finally has accepted GOI's tender and agreed in writing to defend and indemnify GOI against the claims made by Plaintiff in the FAC. Reply, pg. 2, lines 7-8. On a practical level this development moots this motion, however, GOI requests that the motion be granted regardless. Reply, pg. 2, line 10.

B. Legal Standard

"A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, ... if the party contends that ... there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action ... A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code of Civ. Proc. ("CCP"), § 437c, subd. (f)(1).)
